

money demand and the rate of interest could be explained by the Keynesian concept of speculative demand for money. We also learnt about the liquidity trap – at unusually low rate of interest the demand for money becomes infinitely elastic and traditional monetary policy became ineffective.

2.8 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Consumption function is a linear function given by $C = a + bY$. The APC declines with increase in Y while the MPC remains constant.
- 2) i) A decrease in autonomous consumption will lead to a parallel downward shift in the consumption function.

(ii) An increase in MPC will increase the slope of the consumption function.
- 3) Autonomous investment remains constant irrespective of the level of income or interest. Induced investment depends on income or rate of interest or both. See Sub-Section 2.2.2 for details.
- 4) As interest rate decreases the cost of borrowing decreases. Thus, some of the projects which were unviable earlier become profitable. Therefore, more investment takes place with decrease in interest rate.

Check Your Progress 2

- 1) Keynesian model is based on the assumption that resources are under-utilised, prices and wage rate are rigid, and output is a homogenous commodity.
- 2) a) Aggregate demand function is: $Y = 30 + 0.75Y$. Equilibrium income is 120.

b) Equilibrium output will increase to 140.

c) 4

d) In the case of lump sum tax, the multiplier will be the same as autonomous expenditure multiplier given in (b). In the case of proportional tax at the rate of 0.1, the multiplier will be reduced to $\frac{1}{1-0.75 \times 0.9} = 3.08$

e) The open economy multiplier is given by $1 / (1 - b + m)$. Therefore, the multiplier will be 1.8.
- 3) Go through Sub-Section 2.3.1 and answer.

Check Your Progress 3

- 1) (a) Go through Sub-Section 2.4.2; explain Fig. 2.7.

- (b) Saving will be lower than investment, since $(S + T) = (\bar{I} + G)$.
- 2) Refer to Fig. 2.8 and Fig. 2.9 for the answer.
- 3) (i) $S = -10 + 0.25Y$; (ii) 120; (iii) 112

Check Your Progress 4

- 1) You should discuss about transaction demand, precautionary demand and speculative demand for money.
- 2) Refer to Sub-Section 2.5.1 and answer.
- 3) It refers to the insensitiveness of the demand for money to rate of interest, when the rate of interest is very low. Conventional instruments of monetary policy become ineffective in liquidity trap.
- 4) Government should increase public expenditure so that there is no decrease in effective demand.
- 5) High fiscal deficit increases government debt burden, increases interest rate and may lead to crowding out of private expenditure.

UNIT 3 THE NEOCLASSICAL SYNTHESIS*

Structure

- 3.0 Objectives
- 3.1 Introduction
- 3.2 Equilibrium in the Real Sector
 - 3.2.1 Derivation of the IS Curve
 - 3.2.2 Shift in the IS Curve
- 3.3 Equilibrium in the Monetary Sector
 - 3.3.1 Derivation of the LM Curve
 - 3.3.2 Shift in the LM Curve
- 3.4 Simultaneous Equilibrium of Real and Monetary Sectors
 - 3.4.1 Shocks in the IS-LM Model
 - 3.4.2 Adjustment Process in the Economy
 - 3.4.3 Impact of Supply Shocks
- 3.5 AD-AS Model
 - 3.5.1 Derivation of the AD Curve
 - 3.5.2 Aggregate Supply Curve
- 3.6 Let Us Sum Up
- 3.7 Answers/Hints to Check Your Progress Exercises

3.0 OBJECTIVES

After going through this unit, you should be in a position to

- explain the equilibrium in the real sector and the monetary sector in an economy;
- explain the underlying ideas behind the IS curve;
- explain the underlying ideas behind the LM curve;
- explain how the IS and LM curves interact;
- identify factors that influence the position and slope of the IS and the LM curves;
- derive aggregate demand (AD) curve from the IS-LM model; and
- find out the factors that influence the AD curve.

3.1 INTRODUCTION

In Unit 2 we discussed how the equilibrium level of output is determined in the Keynesian model. Recall that Keynes came up with his analysis in the aftermath of the Great Depression. He considered an economy with underutilization of resources (i.e., presence of idle capacity) with an objective of correcting the